[redacted]

Palm Harbor, Florida, June 29, 2003

TO WHOM IT MAY CONCERN

OUTLINE OF LAWSUITS FOR PATENT INFRINGEMENTS FILED BY HADRONIC PRESS, INC., AGAINST EARTHFIRST TECHNOLOGIES, INC.

The undersigned [redacted] President of Hadronic Press, Inc., hereby states the following:

1) All US Patents and Patent Applications on the [redacted]M Technology" are solely and exclusively owned by Hadronic Press, as officially acknowledged by the U. S. Patent Office in the basic Patents Numbers 6, 540,966 and 6,183,604 hereby enclosed as Attachment A. Note that the change of such ownership would require a decision by the Supreme Court.

2) All the above patents and patent applications were developed by Dr. R. M. Santilli working under a Consulting Agreement with Hadronic Press, dated January 5, 1984, herewith enclosed as Attachment B, that is still valid as of today, under which Dr. Santilli must assign all intellectual properties on the magnegas technology to our company in return of salary and other benefits. This Consulting Agreement is attached by Dr. Santilli and by our company to ALL contracts pertaining or related to the magnegas technology.

3) On July 5, 2000, Hadronic Press, granted an exclusive license to EarthFirst Technologies, a public company in Tampa, Florida as per copy in Attachment C. Note that Paragraph 15h states that this license agreements supersedes ALL preceding agreements between our company and EarthFirst Technologies, Inc.

4) On August 15, 2001, EarthFirst Technologies, halted the payment of the due minimal royalties. Therefore, on September 14, 2001, Hadronic Press, served EarthFirst Technologies, Inc, with a formal Notice of Default with Request to Cure within the 45 days as requested in the license, as in Attachment D. EarthFirst Technologies ignored this Notice. Therefore, EarthFirst Technologies was served with the Notices to Cease and Desist enclosed in Attachment D.

5) Since all the above Notices were ignored by EarthFirst Technologies, while continuing to infringe our patents under the new name of NextGas, on April 12, 2002, Hadronic Press, and, independently, [redacted] filed lawsuits against EarthFirst Technologies for fraud and other charges as per summaries available in Attachment E.

Under the above documentation, no doubt can exist on the ownership of the Magnegas Technology by Hadronic Press, Inc., as well as on the fraudulent nature of the patent infringement by EarthFirst Technologies, Inc.

In Faith

[redacted]

EDITORIAL OFFICE: Phone [redacted]

US006540966B1

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(12) **United States Patent**
Santilli

(10) **Patent No.:** **US 6,540,966 B1**
(45) **Date of Patent:** **Apr. 1, 2003**

(54) **APPARATUS AND METHOD FOR RECYCLING CONTAMINATED LIQUIDS**

(75) Inventor: [redacted]Palm Harbor, [redacted]

(73) Assignee: **Hadronic Press Inc.**, Palm Harbor, FL [redacted]

(*) Notice: Subject to any disclaimer, the term of this patent is extended or adjusted under 35 U.S.C. 154(b) by 0 days.

(21) Appl. No.: **09/586,926**

(22) Filed: **Jun. 5, 2000**

Related U.S. Application Data

(63) Continuation-in-part of application No. 09/372,278, filed on Aug. 11, 1999, now abandoned, and a continuation-in-part of application No. 09/133,348, filed on Aug. 13, 1998, now abandoned, and a continuation-in-part of application No. 09/106,170, filed on Jun. 29, 1998, now abandoned.

(51) **Int. Cl.**[7] **B01J 19/08**
(52) **U.S. Cl.** **422/186.21**; 422/186.22; 422/186.23; 422/186.26; 422/186.27; 204/164; 204/165; 204/168
(58) **Field of Search** 422/186.21, 186.22, 422/186.23, 186.26, 186.27; 204/164, 168, 165

(56) **References Cited**

U.S. PATENT DOCUMENTS

603,058 A		4/1898	Eldridge et al.	
3,992,277 A	*	11/1976	Trieschmann et al.	204/172
4,054,513 A	*	10/1977	Windle	209/214
4,229,307 A	*	10/1980	Lowe et al.	250/543
4,369,102 A	*	1/1983	Galluzzo et al.	204/228.1
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5,159,900 A		11/1992	Dammann	
5,319,176 A	*	6/1994	Alvi et al.	219/121.59
5,417,817 A		5/1995	Dammann et al.	
5,435,274 A		7/1995	Richardson, Jr.	
5,692,459 A		12/1997	Richardson, Jr.	
5,792,325 A		8/1998	Richardson, Jr.	
5,826,548 A	*	10/1998	Richardson, Jr.	123/3
6,113,748 A	*	9/2000	Richardson, Jr.	204/170
6,183,604 B1	*	2/2001	Santilli	204/172
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Wada et al., Nuclear Fusion in Solid, Japanese Journal of Applied Physics, vol 28, No. 11, p. L2017–L2020, Nov. 1990.*
Kim, Neutron Burst From a High-Voltage Discharge Between Palladium Electrodes in D2(sub) Gas, Fusion Technology, vol. 18, p. 680–681, Dec. 1990.*
Foundations of Hadronic Chemistry with Applications to New Clean Energies and Fuels by Ruggero Maria Santilli, (Date Unknown).

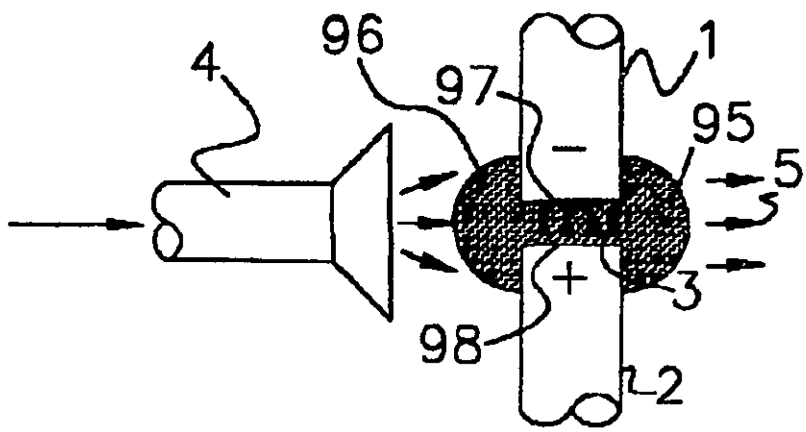
* cited by examiner

Primary Examiner—Alan Diamond
(74) *Attorney, Agent, or Firm*—Dennis G. LaPointe; Mason Law, P.A.

(57) **ABSTRACT**

Reactors for the total recycling of contaminated liquid waste, which produce a clean burning combustible gas, usable heat, and solid precipitates. Different embodiments include the efficient recycling of automotive antifreeze and oil waste, a new method for the production of a fuel from crude oil, for desalting seawater and for recycling biologically contaminated liquid waste, such as town sewage, into a clean burning combustible gas, nutrient rich water useful for irrigation, and solid precipitates useful for fertilizers.

62 Claims, 12 Drawing Sheets



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US006183604B1

(12) **United States Patent**
Santilli

(10) **Patent No.:** **US 6,183,604 B1**
(45) **Date of Patent:** **Feb. 6, 2001**

(54) **DURABLE AND EFFICIENT EQUIPMENT FOR THE PRODUCTION OF A COMBUSTIBLE AND NON-POLLUTANT GAS FROM UNDERWATER ARCS AND METHOD THEREFOR**

(75) Inventor: [redacted] Palm Harbor, FL (US)

(73) Assignee: Hadronic Press, Inc., Palm Harbor, FL (US)

(*) Notice: Under 35 U.S.C. 154(b), the term of this patent shall be extended for 0 days.

(21) Appl. No.: 09/372,277

(22) Filed: Aug. 11, 1999

(51) Int. Cl.[7] B01J 19/08
(52) U.S. Cl. 204/172; 422/186.26; 422/186.26
(58) Field of Search 204/164, 172; 422/186.23, 186.26

(56) **References Cited**

U.S. PATENT DOCUMENTS

603,058 *	4/1898	Eldridge et al.		204/278
4,069,730 *	3/1978	Lewis		204/247
5,159,900	11/1992	Dammann .		
5,417,817	5/1995	Dammann et al. .		
5,435,274 *	7/1995	Richardson, Jr.		123/3
5,692,459 *	12/1997	Richardson, Jr.		123/3
5,792,325 *	8/1998	Richardson, Jr.		204/164
5,826,548 *	10/1998	Richardson, Jr.		123/3

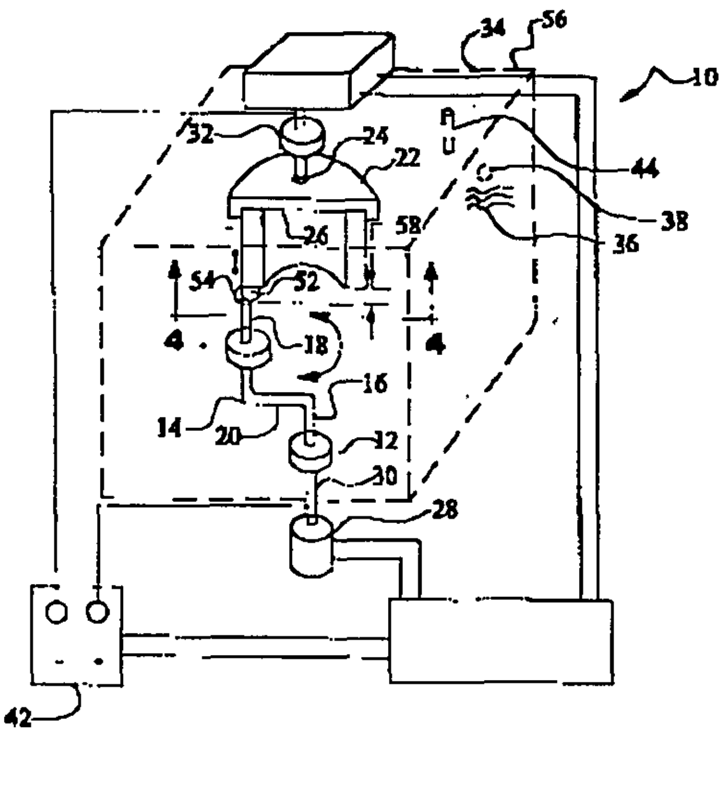
* cited by examiner .

Primary Examiner—Kathryn Gorgos
Assistant Examiner—Thao Tran
(74) *Attorney, Agent, or Firm*—Dennis G. LaPointe; Louise A. Fourch; Mason & Assoc., P.A.

(57) **ABSTRACT**

A system for producing a clean burning combustible gas comprising an electrically conductive first electrode and an electrically conductive second electrode. A motor coupled to the first electrode is adapted to move the first electrode with respect to the second electrode to continuously move the arc away from the plasma created by the arc. A water tight container for the electrodes is provided with a quantity of water within the tank sufficient to submerge the electrodes.

11 Claims, 4 Drawing Sheets



[redacted]

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Office of the President

RESEARCH AND ASSIGNMENT AGREEMENT
DATED JANUARY 5, 1984
on and between

[redacted]

HADRONIC PRESS INCORPORATED
28 Cross Street, Necnantum, MA 02195

Whereas Prof. Santilli has initiated in 1978 basic mathematical-theoretical research toward the identification of new clean energies and fuels while he was a member of the Department of Mathematics of Hard University as Co-Principal Investigator of DOE contracts ER-78-S-02-47420.A000 and AS02-78ER04742, under which Prof. Santilli provided the foundations of a generalization of quantum mechanics known as "hadronic mechanics";

Whereas Prof. [redacted] continued and completed said basic mathematical-theoretical research on the new hadronic mechanics from 1981 until late 1983 in his new capacities as President of the Institute for Basic Research and as Principal Investigator of the DOE contracts DE-AC02-80ER10651, DE-AC02-80ER-10651.A001, and DE-AC02-80ER10651.A002;

Whereas by the fall of 1983 it was clear that no additional research support was possible from U. S. Governmental Agencies;

Whereas Prof. Santilli wishes to initiate and continue the application of said basic research on hadronic mechanics to new reactors under the name of "hadronic reactors" which are capable of providing new forms of clean energies and fuels;

Whereas Hadronic Press believes that the latter applied research is important for the United States of America and wishes to provide financial support for its initiation and conduction;

Whereas Prof. Santilli wishes to accept said financial support from Hadronic Press under conditions set forth by the same as identified below;

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NOW THEREFORE THE PARTIES AGREE TO THE FOLLOWING:

1) Hadronic Press shall pay to Prof. [redacted] retroactively from January 1, 1984, a monthly honorarium equal to that he was receiving under the last DOE contract DE-AC02-80ER10651.A002, with an automatic increase of 7% (seven percent) per year beginning with January 1, 1985.

2) Hadronic Press shall provide to Prof. Santilli any reasonable additional funds for the conduction of experiments, measurements and tests, provided that the latter funding follows the submission by Prof. Santilli and the acceptance by Hadronic Press of specific itemized proposals.

3) Hadronic Press shall provide to Prof. Santilli an office, all related facilities including phone and all necessary conduits for the publication and distribution of the results of their research.

4) [redacted] hereby grants to Hadronic Press the exclusive world-wide ownership of all rights resulting from his research with particular reference to the ownership by Hadronic Press of all possible Patents, TradeMarks and Copyright rights that may result from Prof. Santilli's applied research. More particularly, Prof. Santilli has the obligation under this Agreement of assigning to Hadronic Press all Patents, TradeMarks and Copyrights resulting from his research.

5) [redacted] shall disclose the obligation as per paragraph 4 above to all individuals, corporations or institutions he may collaborate with for the foreseeable future.

6) Prof. Santilli has the obligation of appending this Agreement in its entirety to any contract he may enter with other individuals, corporations or institutions.

7) In the event that Prof. Santilli enters into Consulting or Employment Agreements with other parties under the above indicated conditions of disclosure, Hadronic Press will reduce the monthly honorarium accordingly.

8) As a necessary condition for Hadronic Press to applied for and prosecute Patent Applications, TradeMarks Applications and Copyright Applications under the Hadronic Press ownership and assignment, Prof. Santilli has the obligation of disclosing to Hadronic Press all his applied research, whether conducted under funding by Hadronic Press, or continued under other funding.

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9) In the event that [redacted] is unavailable for the prosecution of Patent, TradeMark and Copyright Applications, Hadronic Press has the option of hiring other technicians and/or patent law firms for the said prosecution.

10) Hadronic Press shall grant to Prof. [redacted] a percentage of proceedings that may originate from Patents, Trademark and Copyright rights according to separate agreements to be negotiated and executed at the time of availability of said proceedings.

11) Hadronic Press has the option of recording this Agreement in public records whenever warranted and possible.

12) This Agreement supersedes all preceding agreements in between the Parties.

[redacted]

Jan 5, 1984
Date

Jan. 5, 1984

1-5-84
Date

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THE TECHNOLOGY EXCLUSIVE LICENSE AND ROYALTY AGREEMENT

Annexed as Exhibit 5 and made a part of that certain

World Wide Exclusive Assignment, License and Royalty Agreement between Hadronic Press, Inc., and EarthFirst Technology, Inc.*

[redacted]

WITNESSETH THAT

WHEREAS, the HPI is a Party to that certain Worldwide Exclusive Assignment, License and Royalty Agreement of which this License and Royalty Agreement is annexed thereto as Exhibit 5;

WHEREAS a major requirements of the Worldwide Exclusive Assignment, License and Royalty Agreement mandates HPI license all their interests in the Technology as that term is therein defined to USMAGNEGAS according to the terms and conditions and for such compensation as is herein set forth.

WHEREAS the Licensor and Licensee are interested in undertaking together a joint effort at designing, manufacturing, selling or otherwise commercializing the Technology as by an Exclusive Assignment and Royalty Agreement that provides for the Licensor to introduce USM to the technology and to authorize USM to make and to commercialize the Technology at an agreed royalty, so long as both parties perform in accordance with this Agreement;

NOW, THEREFORE, the Licensor and Licensee, intending to be legally bound, agree to undertake designing, manufacturing, and selling or otherwise commercializing the Technology upon the following terms and conditions:

1. Definitions

   a. "Technology" shall have the same meaning as that set forth in the Worldwide Exclusive Assignment, License and Royalty Agreement executed simultaneous to the execution of this Agreement.

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b. "Licensed Scientific Knowledge" means unpatented proprietary scientific information disclosed to Licensee by the Licensor, and useful in identifying and optimizing the basic physical and chemical effects underlying the Licensed Products or performing Licensed Services.

c. " Licensed Know-how" means unpatented proprietary technical, professional, or commercial information disclosed to Licensee by the Licensor, and useful in designing, making, or using Licensed Products or performing Licensed Services.

d. "Licensed Patent" means any patent or patent application Licensed to USM herein and containing a claim defining the composition, design, machine, process, product by process, manufacturing, structure, operation, or use of the Technology subject matter, insofar as owned or licensable by Licensor and so Licensed to USM in or for the Licensed Territory.

e. "Licensed Product" means product or related composition whose production, structure, or use embodies any Licensed Scientific Knowledge and Know-how, is defined by a claim of a Licensed Patent or disclosed patent application and/or would infringe a Licensed Patent in the absence of this Agreement, or displays or is commercialized by a Licensed Trademark.

e. "Licensed Service" means any designing, making, specifying, or any instruction, leasing, or performance of other services relating to any Licensed Product for, to, or with a customer or other party, whether for compensation or not.

f. "Licensed Specification" means any requirement or standard identified by the Licensor to Licensee relating to composition, design, manufacturing method, structure, workmanship and/or resulting appearance, form, identity, quality, or presentation of an Licensed Product or a Licensed System,

g. "Licensed System" means any apparatus, assembly, device, or structure for producing or using an Licensed Product, with or for use with (or without) other accessories.

h. "Licensed Trademark" Magnetion, MagneGas, PlasmaArcFlow, Magnecules, Magneliquids, or other word and/or design, used with or without any other word and/or design, in or as a brand name for Licensed Products or Licensed Services or Licensed Systems.

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i. "Improvement" means any substantial change in any foregoing defined item (a to h) during this Agreement, whether made by the Licensor or by USM, or both, or otherwise owned and/or assignable by either of them to the other.

j. "Licensed Term" means the duration of this Agreement which shall be: the same as the duration of all patents, trademarks or other similar devices plus a period of five years following the expiration of Licensed Patents; or a period of then years following the final denial of a in a given country, as more appropriately specified below.

k. "Licensed Territory" means worldwide.

l. "Licensor" means Hadronic Press, Inc and any and all other persons, entities or others who are now and who may become co-patent owners, either through invention or assignment or otherwise, of the Technology.

m "Licensee" shall means USMAGNEGAS, Inc. a Florida Corporation which may also be abbreviated as "USM."

2. License and Sublicenses

a. The Licensor hereby grants to the Licensee, for the Assignment Term only, an indivisible, right and assignment to make, use, lease, sell, and otherwise practice commercially the defined Licensed subject matter.

b. So long as Licensee is in good standing under this License Agreement, this grant is to be exclusive on a world-wide basis, meaning that the Licensor will not grant any third party a similar assignment in the Licensed Territory.

c. USM shall have the right to apply any Licensed Trademark to Licensed Products and other components sold by USM for construction of Licensed Systems, but USM. shall use Licensed Trademarks only in accordance with acceptable trademark practice and subject to the provisions of this Agreement.

d. USM customers will have an implied sublicense to assemble Licensed Products into Licensed Systems, with or without other components.

e. USM may grant sublicenses under this Agreement. In the event a sub-license is granted by USM, then in addition to any other consideration due HPI under this Agreement, USM shall pay over to HPI (i) 15% of down payments to USM in cash; (ii) 5% of any stock

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issued in connection with such sub-license and; (iii) three-percent (3%) of all gross income derived by the sub-licensee relating to the Technology. All sublicenses are to be approved by HPI. All 3% Royalties paid pursuant to this item 2e shall be paid to HPI directly.

3. License Term

   a. Unless sooner terminated as provided herein, this Agreement will continue for a period equal to the expiration date of any and all patents or other devices enumerated heretofore as a part of the Licensed subject matter plus a period of five years.

   b. The Term shall be until the Licensor gives USM notice that USM is no longer in good standing because of a specified breach or default of one or more of USM's obligations under this Agreement; USM shall have the right to remedy any such breach or default within forty-five (45) days thereafter to return to good standing as to such breach or default. Likewise, if the Licensor should be in breach or default of one or more of Licensor's obligations under this Agreement, the Licensor shall have the right to remedy any such breach or default within forty-five (45) days thereafter to return to good standing as to such breach or default.

   c. Obligations of this Agreement that are indicated as surviving beyond the end of this Agreement shall continue for such time period as may be lawful, despite notice by either party to the other of an election to discontinue either party's participation in or under this Agreement.

4. Confidentiality

   a. To the extent that USM receives Licensed Scientific Knowledge and Know-how, or either party becomes aware of other proprietary information from the other party via their relationship pursuant to this Agreement, each recipient of such information will hold it in confidence so long as the other party effectively treats it as confidential, except as specific information becomes public knowledge otherwise than by or from USM.

   b. The foregoing obligation to keep proprietary information confidential and to safeguard it within the organization of a party will survive any termination of this Agreement to the extent that such information is not common trade knowledge.

5. Assignment Activation

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a. USM shall make available facilities, equipment, and resources for the Technology design, development, and marketing purposes during the term of this Agreement in order to enable the equipment and resultant products to be analyzed, tested, and (as soon as feasible) to be demonstrated to prospective customers, investors, and other interested persons.

b. The Licensor will provide the Technology, Licensed Scientific Knowledge and Know-how to USM from time to time as may be appropriate and will participate regularly as a technical consultant relating to the Technology design, development, testing, and marketing, as USM deems desirable.

6. Royalties

a. The Royalty rate for Licensed Product, Licensed Services, and Licensed Systems is three percent (3%) of the gross proceeds of all that USM receives in money or other things of value for leasing, servicing, selling, or otherwise commercializing the same, said royalty to be payable on a quarterly calendar basis. As an incentive to HPI to execute this Agreement, USM further agrees to make advance Royalty payments according to the following schedule:

(i) During the first twelve months of this Agreement, USM shall pay to HPI advance Royalties equal to $10,000 per month with the first payment due and payable upon execution of this Agreement;

(ii) During the second twelve months of this Agreement, USM shall pay to HPI advance Royalties equal to $20,000 per month;

(iii) During the third twelve months of this Agreement, USM shall pay to HPI advance Royalties equal to $30,000 per month and shall continue thereat for the 4th and 5th year.

(iv) Advanced Royalties set forth in item 6ai - iii are recoverable by EFT by being creditable against whatever Royalty may become due pursuant to this Agreement.

b. Royalty accrues upon invoice, lease, sale, or service by USM but shall not be payable until USM's receipt of payment therefor and shall be without any deduction from USM's actual total revenue therefrom, except for customers' related costs (such as insurance, shipping, or taxes) and then only if so itemized on USM's invoices to them.

c. Royalty payable for any given month becomes due at the end of the then current calendar quarter, and shall be paid, according to item 6b hereinabove, during the first month of the next calendar quarter, or will become overdue on the first day of the next month.

d USM and all its Licensees, or nominees shall acknowledge the scientific paternity of Magnegas by Santilli, and use the terms "Santilli's Magnegas", in production labels of all equipment and related manuals; headings of official communications, press releases, Web Sites; and other documents, whenever appropriate.

7. Minimal Sales

As a part of this Agreement, USMAGNEGAS undertakes to achieve the following minimum levels of sales for the period indicated:

First Year Sales	$0
Second Year Sales	$1,500,000
Minimal Sales	$3,000,000

In addition to those provisions cited in section 13 hereon, failure to achieve the above minimum sales relating to the Technology shall render USMAGNEGAS in default under this Agreement. In such an event, USMAGNEGAS shall have 45 days from the date of such default to cure or remedy minimum sales requirements or this Agreement shall become null and void and HPI shall reacquire all rights hereunto granted.

8. Payments and Reports

a. USM will report to Licensor, all Royalty for each calendar quarter of the Assignment Term during the first month of the next ensuing calendar quarter and may include with each such report full payment of royalty due for (and reported for) the preceding quarter's operations.

b. Quarterly and annual royalty reports will be signed and be certified as accurate and complete by an authorized officer of USM.

c. USM will keep accurate and complete records of all business done pursuant to this Agreement and will make such records available to Licensor, no more than two (2) persons at once-for inspection during regular business hours, upon at least three (3)

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business days' advance notice, to determine Royalties accrued and paid or unpaid, and any other information due hereunder.

d. The Licensor may cause an audit to be made of the applicable records in order to verify statement for Royalties made hereunder. Any audits shall be conducted by an independent certified public accountant, acceptable to both parties, and shall be conducted during regular business hours at USM's offices.

e. The Licensor shall bear the expenses of any such audit unless such audit reveals that the Royalties paid by USM under this Agreement for the Period subject to the audit are less than ninety-five percent (95%) of the amount owed by USM for such period. In such event, the costs of the audit shall be borne by USM, in addition and without limitation to any right of remedy Licensor may have, USM agrees to pay the balance of such royalties due the Licensor within forty-five (45) days after written notice is delivered of USM's understatement of Royalties due. Furthermore, USM shall pay interest on all understated Royalties at a rate of 1.5% per month or lesser amount as mandated by law, computed from the day on which said Royalties were due and owing to the Licensor.

f. Refusal by USM to report or to pay Royalty, or to maintain or make available records of business done hereunder, will forfeit USM's good standing under this Agreement, if not remedied within forty-five (45) days.

g. In addition to all other payments made to HPI, USMAGNEGAS shall further pay $5,000 (five-thousand dollars) per month to Dr. Ruggero Santilli who shall then be available for consultation, advise and presentations provided such activities do not exceed 20 hours per month. Any additional time required of Dr. Santilli by USM shall be the subject of a separate agreement and shall not in any manner be connected with nor construed as a part of this Agreement as well as all related work needed to prosecute patents worldwide. When a Consulting Agreement is executed, this item will be merged therewith.

9. Improvements

a. Any new composition, design, product, or service conducive to third party competition with Licensed Product or Licensed Services or Licensed Systems, invented or otherwise coming under the control of either party during the Assignment Term, is deemed an "Improvement" and such party will disclose the same to the other party promptly and in enough detail to enable the other party to elect whether to have such Improvement included hereunder.

b. As to any such Improvement by either party, either party may elect to have such Improvement included hereunder, within three (3) months after first knowledge thereof, without change in Royalty, by promptly notifying the other party of an election to do so; and the party that made or acquired such Improvement need do no more if both parties fail to elect to include the Improvement.

c. The originating party of an elected Improvement that appears possibly patentable after a competent prior art search, will file and prosecute a patent application thereon, and may discontinue prosecuting it or maintaining any resulting patent, but only after giving the other party notice of such intention plus ample opportunity to take such (or equivalent) action at its own sole future discretion and expense.

d. If the parties have joint inventorship/ownership patent rights in an issued Improvement patent, the parties will share equally the related ownership rights and expenses including any official patent maintenance fees for any one Improvement patent. The parties need not exercise improvement patent rights, except as this Agreement may provide, nor need either party account to the other party for any lawful activity regarding such patent rights outside this Agreement.

e. The parties recognize that well-based differences may arise with regard to origination of any given Improvement and that as to U.S. patents the determination of inventorship and of patentability is exclusively within the jurisdiction of the U.S. Patent and Trademark Office and the Federal Courts. Unless the parties are/have joint inventors or successor(s) thereto and hence are joint owners, they specifically agree that for any Improvement patent application and for any resulting patent for an Improvement elected by either party to be included hereunder, regardless of inventorship, the Improvement originating or otherwise acquiring party will grant to the other party (if that other party so elects) an unrestricted paid-up (free) license to practice the Improvement for the Assignment Term, if such practice of it would not violate any non-elected prior patent of the grantor-Licensor.

f. Each party's foregoing Improvement rights are executory in nature, including the right to be informed of any Improvement by the other party, and to elect an Improvement for inclusion hereunder (or not), and including rights to ongoing prosecution of patent applications and maintenance of patents by an originating party of an elected Improvement, and receipt of license or ownership rights thereunder.

10. Infringement Rights

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a. In the event that USM's commercialization of any Licensed Product, Licensed Service, or Licensed System is accused of-infringing a proprietary right of any third party, the parties will cooperate in attempting to avoid such infringement or to prove lack of infringement, and so long as USM's license hereunder is exclusive to the extent set forth above, USM will have a right, but not an obligation, to defend or assist in defending against any infringement action brought by a third party, and shall have also the obligation to pay one-half (1/2) of the costs of doing so, except as either party may voluntarily pay more thereof incidental to participation therein.

b. Neither party will be liable to the other party if unable or unwilling to continue this Agreement because of such infringement of third-party rights, and in that event USM will cease commercializing Licensed Products, Licensed Services, and Licensed Systems, and USM will relinquish its rights hereunder in that event, and thereby terminate its Royalty and attendant obligations to the Licensor.

c. In the event that the activities of any third party are asserted (or other-wise appear) to infringe an intellectual property right Licensed to USM hereunder, the parties will cooperate in attempting to ascertain and to abate such infringement. So long as USM's Assignment hereunder is exclusive to the extent set forth above, USM will have a prior right, but not an obligation, to abate such infringement, whether by litigation or otherwise, subject to paying all the costs of doing so other than such costs or expenses as the Licensor may voluntarily pay incidental thereto or to participation therein. Any moneys recovered from a third-party infringer will be retained by the parties, pro-rated to their expenditures after determining what portion of moneys recovered are due the Licensor as part of any Royalty, whose action(s) had such result.

d. If third-party infringement is not abated, USM may elect to continue as a non-exclusive Licensee under this Agreement as its sole remedy, or alternatively USM may discontinue its license and cease royalty payments as its sole remedy.

11. Assurances

a. The Licensor assures USM of its origination of the inventions and guarantee USM of the Licensor's invention priority to their best knowledge.

b. The Licensor warrants ownership to their best knowledge of the Licensed Products and Licensed Services, in the specific sense that the Licensor has no reason to believe that any third party has any right to prevent either the Licensor or Licensee from practicing any Licensed Invention, or from using any Licensed Trademark, as provided in this

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Agreement, and Licensor warrant such practice or usage as non-infringing of third-party rights.

c On behalf of Licensor, Dr. Santilli will instruct and/or assist USM's personnel in design, manufacturing, quality standards, testing, distribution, marketing, and sale, as well as proper marking, of Licensed Product and Licensed Systems, and Licensor will provide Licensed Know-how in doing so, as may be applicable as part of a separate Consulting Agreement.

d. The Licensor will have no liability whatever to USM for USM's actions or inactions under this Agreement, and USM will save the Licensor harmless against any liability to third parties whether based upon agency, contract, negligence, product liability, or other basis-for any claim based on action or inaction of USM relating to Licensed Products, Services, or Systems.

12. Product Marking

a. USM will mark on Licensed Products (or containers) each patent number applicable thereto upon being advised thereof by the Licensor. In the absence of patents, USM shall be under no product marking obligations relating to any use of the Technology, except for the identification of paternity set forth in this Agreement, paragraph 6d.

b. USM will display a Licensed Trademark (if elected) on all Licensed Products and in advertising copy, brochures, and publications by or for USM about Licensed Product. USM will not use any Licensed Trademark in or as a trade name (i) if not elected, or (ii) if elected, after USM discontinues (or other termination of) USM's license under this Agreement.

c. USM will not make any material change in materials, production methods, or otherwise that might affect the nature or quality of any Technology product or service, without advance notice to the Licensor.

d. If USM elects to use one or more Licensed Trademark(s), USM will display one thereof on each container of Licensed Product made by or for it, and in all Licensed Product advertising copy, product brochures, press releases, and publications by or for USM about Licensed Product plus the generic name of the goods, together with occasional notice that such Trademark is the property of the Licensor.

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13. Termination

a. This Agreement may only be terminated according to law or in the event of a specific breach of the terms and conditions herein set forth including but not limited to the payment of royalties. Any breach of this Agreement shall require the party which asserts such breach to notify the other party and allow for a period of forty-five days to effect a cure of any such breach. In the absence of any such cure, this Agreement automatically terminates without need of further written notice.

b. Upon termination, USM will refrain from exercising thereafter any right it had by license hereunder, such as practicing the invention of any previously Licensed Patent, or using a Licensed Trademark or confusingly similar expression.

c. Whenever USM is not in good standing hereunder, the Licensor may render USM's Assignment wholly non-exclusive, or if it is already non-exclusive for a prior breach or default the Licensor may terminate USM's rights hereunder, in the absence of specific curative provisions for USM's breach or default, or if USM has had an opportunity to comply such a curative provisions and failed or refused to do so.

d. If either party becomes, or would become, disabled-as by the other party's choosing, or being subjected to, an act or a procedure for relief of debtors from enforcing compliance with a given executory obligation of the other party hereunder (e.g., compliance with standards, action with regard to infringers, offer of Improvements) the thus disabled party may deem this Agreement and the license and other rights under this Agreement terminated.

e. No inaction or overlooking by the Licensor or Licensee of any condition or provision of this Agreement or of any breach or default thereof either party shall be deemed to imply or to constitute a future waiver of any similar breach or default of the same or other condition/provision.

f. This Agreement is automatically terminated in the event of USM financial insolvency and bankruptcy, in which case Licensor re-acquires the complete rights granted hereunder.

g. This Agreement is also automatically terminated in the event USM has no sales for the continuous duration of two years, in which case Licensor re-acquires the entire rights granted hereunder.

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14. Notices

a *If to Licensor*

[redacted]

[redacted]

If to Licensee

[redacted]

[redacted]

15. Miscellaneous

a. **If any one or more provision(s) or effect(s) of this Agreement should prove to be invalid or unenforceable, and the Agreement be otherwise valid and enforceable, the invalid or unenforceable provision or portion thereof will be severed, and the remainder of the Agreement be and remain valid and enforceable to the fullest extent permitted by applicable law.**

b. **This Agreement is made for the benefit of the parties, their heirs, successors, and assigns, and any other person or legal entity named in any provision hereof, and not made to give any unnamed person or legal entity any right of action whatever.**

c. **Each statement made in this Agreement is deemed material, and each party is entitled to rely, and deemed to have relied, upon the truth and correctness thereof in entering into this Agreement.**

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d. Each party acknowledges that he has received advice of independent counsel of choice as to the inducements, provisions, and terms of this Agreement, and their effect, whereupon entering into this Agreement is each party's free and independent act.

e. This Agreement is to be governed by Federal law to whatever extent a proprietary right granted by the United States is involved, and otherwise by Florida law, except as activities of a party in any other State render that other State's law applicable.

f. In the event that any action or proceeding is brought to enforce any of the terms and conditions of this Agreement, then the party in whose favor relief is granted and/or judgment is entered shall be entitled to have and recover from the other party or parties all costs, prejudgment interest, and reasonable attorney's fees incurred in connection with the enforcement action.

g. Notice to be given under this Agreement will be in writing and be addressed to the other party at the address of such party hereinabove, unless such address has been superseded by like notice, whereupon the latest noticed address thereof is to be used. Notice will be effective when delivered to the addressee, or-if not a change of address-when sent by Express or Registered Mail so addressed.

h. This Agreement sets forth the entire intent and understanding of the parties with regard to the subject matter hereof, and merges any prior negotiations or agreements by the parties as to such subject matter, and no addition, deletion, or other modification of the wording hereof may be made except in writing subsequent hereto and signed by the party or parties to be bound thereby.

i. As per the Worldwide Assignment, License and Royalty Agreement, upon the formation of Euro- and/or AsiaMagneGas, respectively, USM shall amend this Agreement to render same exclusive to the North, Central and South American possessions and territories only. This action will be taken as each Euro- and AsiaMagneGas are formed.

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IN WITNESS WHEREOF the parties have caused this Agreement to be signed, sealed, and attested by persons duly authorized so to do, as of the date first stated hereinabove.

For Hadronic Press, Inc.

[redacted]

For USMAGNEGAS, Inc.

[redacted]

Ratified by its Chairman of the Board of Directors

[redacted]

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H P [redacted]

[redacted]

[redacted]

September 14, 2001
NOTICE OF VARIOUS DEFAULTS OF VARIOUS CONTRACTS ON THE MAGNEGAS TECHNOLOGY

[redacted]

[redacted]

[redacted]

[redacted]

[redacted]

VIA FAX [redacted] ON SEPTEMBER 14, 2001

This is a notification of the following several defaults by you of various agreements on the Santilli Magnegas Technology:

AGREEMENT # 1: "WORLD-WIDE EXCLUSIVE ASSIGNMENT, LICENSE AND ROYALTY AGREEMENT" signed on July 5, 2000, by [redacted] President of Hadronic Press, Inc. (HPI), [redacted] President and Chief Executive Officer and [redacted] Executive Vice President, EarthFirst Technologies, Inc. (EFT).

NOTICE OF DEFAULT # I OF THE TERMS SET FORTH IN PARAGRAPH 8.a.ii requesting that "EFT shall deposit such sums directly to USMAGNEGAS prior to the 30-th of each month such that on the first day of each month during the course of the Research and Development

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program annexed hereto as Exhibit 6, USMAGNEGAS shall have on deposit all cash requirement *stipulated in writing according to the aforesaid formulae.*" According to ample documentation and eyewitnesses, EFTI has defaulted this crucial term of the agreement during the months of September 2000, October 2000, November 2000, December 2000, January 2001, February 2001, March 2001, April 2001, May 2001, June 2001, July 2001, August 2001 and September 2001. Numerous repeated notices of defaults were sent to your company by [redacted] Director of Research and Development, the last one being dated August 25, 2001. Said documented, repeated and systematic defaults eventually caused the paralysis of the production of the magnegas reactors and your lack of any cure of this serious default was a primary reason for the resignation by R. M. Santilli as Director of Research and Development of his magnegas technology. In accordance with Paragraph 10.c, we hereby serve you this notice of default filed in full accordance with the provisions set forth in Paragraph 19, according to which you have 45 days to cure this default, after which "this agreement shall be null and void and there shall be no further obligation of either party."

AGREEMENT # 2: "LETTER OF INTENT RELATED TO THE FORMATION OF EUROMAGNEGAS AND ASIAMAGNEGAS" which is an integral part of Agreement 1, as stated in the later, Paragraph 1g where it is identified as "Exhibit 4"

NOTICE OF DEFAULT # II OF THE TERMS SET FORTH IN PARAGRAPH 7, according to which "On or before six month from incorporation, corresponding to nine months from the date of execution of the World-Wide Exclusive Assignment, License and Royalty Agreement, EuroMagnegas and AsiaMagnegas shall receive complete working prototypes of PlasmaArcFlow recyclers and sewage recyclers. USMagnegas shall bear all costs associated with this item 7." In January 2001, upon the achievement of maturity for an initial production for PlasmaArcFlow Reactor with 50 Kwh, [redacted] requested during a meeting of the board of Directors of USMagnegas the immediate construction by USMagnegas of two samples of said recyclers for the specific purpose of not defaulting on the terms herein considered, due to the mandatory need for the availability of said reactors by said EuroMagnegas and AsiaMagnegas to initiate their operation. A certain William Kardash, then appointed by [redacted] to be the production manager, and acting on his behalf as per his own statements, systematically refused the construction of said two prototypes, with consequential evident default of this important condition for the very existence of EuroMagnegas and AsiaMagnegas. Subsequently, on July 2001, upon achievement of maturity of production of the bigger PlasmaArcFlow recyclers with 150 Kwh, R. M. Santilli requested again the production of two reactors to be shipped to EuroMagnegas and AsiaMagnegas, and, again, said [redacted] this time acting outside USMagnegas but also in representation of [redacted] refused the funds for the production of said reactors, refusal which subsequently was another important reason for [redacted] o resign as Director of Research and Development. This is the final notice for you to cure this protracted and repeated default. You therefore have 45 (forty five) days to takes steps to cure this default. If, for any reason, said recyclers have not been shipped as above indicated within 45 days, both exclusive license on the magnegas technology for Euromagnegas and AsiaMagnegas shall be null and void without any obligation by either party.

NOTICE OF DEFAULT # III OF THE TERMS SET FORTH IN PARAGRAPH 13, according to which, at the time of incorporation of EuroMagnegas, EFT should have issued to HPI an option to purchase 250,000 shares of EFT common stock at the market value of the time. Numerous requests were moved by R. M. Santilli to J. Stanton to cure this default with no result. This is the final notice for you to issue to HPI the agreed option for the purchase of 250,000 shares of EFTI common stock at the market value of the day of issuance. You have 45 (forty five) days to cure this default. In the absence of said cure within the indicated period of time, the license on the magnegas technology for EuroMagnegas shall be null and void, without any obligation by either party.

NOTICE OF DEFAULT # IV OF THE TERMS SET FORTH IN PAR[redacted], according to which, at the time of incorporation of AsiaMagnegas, EFT should have issued to HPI an option to purchase 250,000 shares of EFT common stock at the market value of the time. Numerous requests were moved by [redacted]o cure this default with no result. This is the final notice for you to issue to HPI the agreed option for the purchase of 250,000 shares of EFTI common stock at the market value of the date of issuance. You have 45 (forty five) days to cure this default. In the absence of said cure within the indicated period of time, the license on the magnegas technology for AsiaMagnegas shall be null and void, without any obligation by either party.

AGREEMENT # 3: EXCLUSIVE LICENSE AGREEMENT ON THE SANTILLI MAGNEGAS TECHNOLOGY FOR EUROMAGNEGAS, LTD, DENOTED "EXHIBIT # 5(i) OF AGREEMENT # 1,SIGNED ON THE 18-TH OF DECEMBER 2000 BY J. STANTON AS PRESIDENT AND CEO OF EFT, CARLA SANTILLI AS PRESIDENT AND CEO OF HPI and R.M.SANTILLI AS PRESIDENT AND CEO OF EUROMAGNEGAS, ltd.

NOTICE OF DEFAULT # V: Since the latter agreement is based on the preceding ones, all preceding Defaults # I, II, III and IV constitute clear defaults of said license. Therefore, in the event of lack of cure of the above defaults within the indicated 45 days period, said exclusive license for EuroMagnegas is null and void without any further obligation by any party.

AGREEMENT # 4: EXCLUSIVE LICENSE AGREEMENT ON THE SANTILLI MAGNEGAS TECHNOLOGY FOR ASIAMAGNEGAS, LIM,SIGNED ON THE 1-ST OF JULY 2001 BY J. STANTON AS PRESIDENT AND CEO OF EFT, CARLA SANTILLI AS PRESIDENT AND CEO OF HPI and R.M.SANTILLI AS PRESIDENT AND CEO OF EUROMAGNEGAS, ltd.

NOTICE OF DEFAULT # VI: Since the latter agreement is based on the preceding ones, all preceding Defaults # I, II, III and IV constitute clear defaults of the latter license. Therefore, in the event of lack of cure of the above defaults within the indicated 45 days period, said exclusive license for AsiaMagnegas is null and void without any further obligation by any party.

NOTICE OF DEFAULT # VII OF THE PAYMENTS SET FORTH IN PARAGRAPH 6.a.(i), LACK OF CURE, AND CONSEQUENTIAL TERMINATION. According to Paragraph 6.a.(i), EFTI had the obligation to initiate the payment to HPI of $ 10,000 (ten thousand dollars) per month commencing with the first payment due on July 1, 2001. No payment of any nature in this respect has been received by HPI to date. In accordance with the terms set forth in the agreements you have 45 (forty five) days from the date of reception of this fax, September 14, 2001, to cure this default, after which the exclusive license agreement on the Santilli magnegas technology for AsiaMagnegas is null and void without any further obligation by either party, and our company is free to grant an exclusive license on the same technology to other corporations or individuals for the same geographical area.

On July 30, 2001[redacted] a notice of default with the request of cure within 45 days as per enclosed copy. No cure of such a default occurred within the following 45 days grace period. Therefore, the exclusive license on the Santilli magnegas technology for AsiaMagnegas, Lim, is hereby declared automatically terminated, and HPI is free to grant an exclusive license to another party for the Asian market.

AGREEMENT # 5: EXCLUSIVE LICENSE AGREEMENT ON THE SANTILLI MAGNEGAS TECHNOLOGY FOR USMAGNEGAS, INC>, SIGNED ON THE 5-TH OF JULY 2000 BY J. STANTON AS PRESIDENT AND CEO OF EFT, LEON TOUPS AS PRESIDENT OF USMAGNEGAS, INC., AND CARLA SANTILLI AS PRESIDENT AND CEO OF HPI.

NOTICE OF DEFAULT # VIII: Since the latter agreement is based on the preceding ones, all preceding Defaults # I, II, III and IV constitute clear defaults of the latter license. Therefore, in the event of lack of cure of the above defaults within the indicated 45 days period, said exclusive license for USMagnegas is null and void without any further obligation by any party.

NOTICE OF DEFAULT # IX OF THE PAYMENTS SET FORTH IN PARAGRAPH 6.a.(ii), AND CONSEQUENTIAL TERMINATION IN CASE OF LACK OF CURE. According to said Paragraph 6.a.(ii), EFTI had the obligation to pay $ 20,000 (twenty thousand dollars) advance royalties for the month off August 2001. This payment was never received by HPI despite several solicitations with deadlines for the reception of payments since the same payments were crucial for HPI to meet its own payment for patent work with the Law Firm Mason & Associates in Clearwater, Florida. No Payment has been received as of today. This is our FINAL NOTICE for curing this crucial default within 45 (forty five) days from the date of reception of this fax, September 14, 2001, in the absence of said cure the exclusive license on the Santilli magnegas technology to USMagnegas, Inc., shall automatically terminate, and HPI shall be free to grant an exclusive license to other parties on the same technology for the same geographical area.

In closing EFT shall assume full responsibility for the consequences of the above as well other defaults.

In faith

[redacted]

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H/P [redacted]

[redacted]

This letter is to confirm what separately communicated to you by R. M. Santilli in his "Final Report" on the magnegas technology dated September 1, 2001, and addendum dated September 3, 2001, to the effect that our company is in complete compliance with all terms and conditions set forth in "The technology exclusive license and royalties agreement" signed on July 5, 2000.

In conformity with Section 9, pages 7 and 8, on "Improvements" of the same agreement, this letter is to offer you the option to acquire the world wide exclusive patent rights on all additional improvements mentioned in the above identified "Final Report" which pertain to new reactors, new fuels and new applications. Please note that you have had the knowledge of these improvements for over 3 months from preceding written and verbal reports on patents by R. M. Santilli beginning from January 2001.

Please let us have a written decision to be received by us on or before 30 days from today on: the means you intend to support the cost of these various new patents, which costs have been projected in said "Final Report" to be of the order of $ 2.3M over the next 3 years in addition to the $ 1M costs projected in 2000; plus your proposal for our profits.

Yours, Truly [redacted] President

[redacted]

Copy via Certif Mail 70000600 0026 0654 0068
To P. Mazzi, Esq. through and
Certif Mail 70000600 0026 0654 0051
To [redacted]

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[redacted]

October 30, 2001

[redacted]

[redacted]

Re: <u>Termination of Agreements and Cease and Desist of Use of IP Property</u>
Our File No.: 3293.016

Dear Mr. [redacted]

We represent Hadronic Press, Inc. in its intellectual property matters and have been asked to respond to EarthFirst Technologies, Inc.'s letter of October 18, 2001, particularly in the context of the recent termination of all license agreements between EarthFirst Technologies, Inc. ("EarthFirst") and/or USMagneGas, Inc. and Hadronic Press, Inc. ("Hadronic Press").

On September 14, 2001, notification of various defaults was provided to you related to specific provisions of the following agreements:

a. the "World-Wide Exclusive Assignment, License, and Royalty Agreement" dated July 5, 2000;

b. the "Letter of Intent Related To The Formation Of EuroMagneGas and AsiaMagneGas" which is an integral part of the aforementioned July 5, 2000 agreement;

c. the "Exclusive License Agreement on the Santilli MagneGas Technology for EuroMagneGas, LTD. denoted as Exh. 5(i) of the July 5, 2000 World-Wide Agreement;

[redacted]

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d. the "Exclusive License Agreement on the Santilli MagneGas Technology for AsiaMagneGas, LIM," dated July 1, 2001; and

e. the "Exclusive License Agreement on the Santilli MagneGas Technology for USMagneGas, Inc.", dated July 5, 2001.

The defaults were not cured within the contractually dictated time limits and the above-mentioned agreements are by their explicit terms now automatically terminated without need for further written notice.

We want to make it clear that Hadronic Press is the owner of United States Patent Number 6,183,604, dated February 6, 2001. In addition, Hadronic Press is the owner of several related patent applications, including continuation and/or continuation-in-part applications, which were filed with the United States Patent & Trademark Office in the name of inventor Ruggero Maria Santilli and properly assigned to Hadronic Press. In addition, Hadronic Press owns the rights to the trademarks related to the technology, including MAGNEGAS™, PLASMAARCFLOW™, MAGNELIQUID™, and others. Accordingly, EarthFirst's demand that copies of all patent applications be turned over to EarthFirst is rejected. Its demand that ownership rights to the intellectual property be transferred to EarthFirst is similarly without merit and is rejected.

EarthFirst's assertion that it owns all or at least a part of the trademark and patent rights to any technology developed since February, 1998, as well as any other intellectual property relating to the technology allegedly conducted using EarthFirst money, know-how, equipment, premises or the like is unfounded. The agreements clearly show that any payments made to Hadronic Press were royalties for the license to use the technology owned by Hadronic Press. As you know, EarthFirst has never had, nor is presently in possession of any independent "know-how" sufficient to exploit the technology. All the know-how required for promoting the technology is embodied in the scientific knowledge of Dr. Ruggero M. Santilli, who has assigned the ownership rights to Hadronic Press.

Given that Hadronic Press owns the technology, it is free to license the technology to any entity it so desires.

In view of the termination of any and all license agreements between Hadronic Press and EarthFirst USMagneGas and its subsidiaries, Hadronic Press hereby demands that EarthFirst and

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its subsidiary companies immediately cease and desist practicing any of the inventions embodied in the technology owned by Hadronic Press including the sale, use, or distribution of equipment and products protected by the inventions. Should these companies not immediately cease the wrongful conduct, we have been authorized to take all steps necessary to enforce our client's rights, including the initiation of suit for monetary damages and injunctive relief against them and the responsible officers of the companies individually. We will seek damages adequate to compensate for any direct, contributory or induced infringement, but in no event less than a reasonable royalty. We will also seek to recover our attorney's fees and costs on behalf of our client.

Hadronic Press also hereby demands that EarthFirst, USMagneGas and other subsidiaries immediately cease and desist from using or displaying any trademarks, copyrights, and all domain names, related to the technology, including the use of the trademark "MAGNEGAS™" in any subsidiary business entity name.

We require oral confirmation that you will discontinue exploiting the technology and using any of the trademarks, copyrights and domain names using such trademarks and copyright material by 5:00 p.m., EST November 9, 2001.

Moreover, on or before November 15, 2001, we require that you submit the following to us by certified mail:

1. A confirmation that you are no longer exploiting the protected technology, including the manufacture of related equipment and sale of products manufactured by the equipment, and a confirmation that you are no longer using any the related trademarks, copyrights and domain names using such trademarks and copyright material.

2. A sample of all advertising or promotional literature on the protected technology, together with a plan for immediate destruction of the same.

3. A list of all newspapers, periodicals, and other magazines that a description of the protected technology has appeared or will appear in, and a plan for discontinuance of the same.

4. Samples of all Internet web page materials relating to the protected technology, together with a plan for immediate destruction of the same.

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If we do not receive a response from you within the time specified stating that you are complying with our demands, we have, as stated above, been authorized to take whatever action we deem necessary to prevent your unauthorized infringing use of the above described intellectual property rights and to recover appropriate damages, profits, and injunctive relief.

GOVERN YOURSELVES ACCORDINGLY.

Sincerely,

[redacted]

ASM/dgl
Enclosures

c: Hadronic Press, Inc.

3293c016.LTR C & D to Stanton & Toups.102901.doc
10/29/01

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[redacted]

ATTORNEYS AT LAW

[redacted] [redacted] [redacted]

[redacted]

March 14, 2002

SENT VIA CERTIFIED MAIL
RETURN RECEIPT REQUESTED,
REGULAR U. S. MAIL AND
VIA FACSIMILE TO [redacted]

[redacted]

Re: **Notice of Cease and Desist to EarthFirst Technologies Inc. and EarthFirst NextGas, Inc. for Continued Unlawful Use of Intellectual Property and Proprietary Technologies of Hadronic Press, Inc. Our File No. 343024-2**

Dear David:

As you are aware, the law firm of Gray, Harris & Robinson, P.A. now represents Hadronic Press, Inc. ("Hadronic Press") This correspondence puts your clients, EarthFirst Technologies, Inc. ("EarthFirst"). and EarthFirst NextGas, Inc. ("NextGas"), on notice of their continued, intentional and unlawful utilization of certain intellectual properties, proprietary technologies, trade names and trade secrets owned and controlled by Hadronic Press, Inc., for which technologies EarthFirst is no longer a licensee, and for which neither EarthFirst nor its affiliates can meritoriously claim ownership or any other entitlement. Hadronic Press, Inc. hereby instructs the Directors of EarthFirst and NextGas to cease and desist the unlawful utilization of its trade names, patented technologies and other proprietary technologies, specifically with respect to the use of MAGNEGAS™ (which your clients apparently continue to sell under the new trademark "NEXTGAS"), and PLASMAARCFLOW™ Reactors or Recyclers, which your clients apparently continue to develop and utilize under the new tradename "BigSpark Reactors or Recyclers". The salient facts are as follows:

On or about October 30, 2001, EarthFirst Technologies, Inc. and USMagneGas, Inc. each received a Notice to Cease and Desist with regard to their improper use of the above referenced technologies, from the law firm of Mason & Associates, P.A., on behalf

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of Hadronic Press. The Cease and Desist Notice provided at that time demanded that EarthFirst and USMagneGas cease utilizing the patented technology, proprietary technology, trade secrets and trade names owned exclusively by Hadronic Press under assignment from the named inventor, Dr. Ruggero Santilli. The prior Cease and Desist resulted from dishonored contractual arrangements between the parties, leading to Hadronic Press' and Dr. Santilli's parting of ways from EarthFirst and its affiliates under unpleasant circumstances.

Upon information and belief, Hadronic Press asserts that your clients, rather than addressing the reality of their lack of entitlement to Hadronic Press' technologies, and after weeks of negotiations and several failed attempts to convince Hadronic Press to sell or license the technologies to EarthFirst under a new arrangement, apparently decided to proceed unlawfully, regardless, and to file unrelated, "harassing" litigation against Hadronic Press on unfounded grounds. It is clear that your clients are proceeding to utilize what appears to be the identical technologies of Hadronic Press, under newly "made up" trade names implemented by them on December 13, 2001, for which the very product descriptions and marketing materials for NextGas and BigSpark Reactors are virtually identical to Hadronic Press' MagneGas and PlasmaArcFlow Reactors respectively.

Hadronic Press has been informed that EarthFirst and its affiliates remain in possession of one 50 kilowatt, three 150 kilowatt and one 250 kilowatt pre-production PlasmaArcFlow Reactor units developed by Dr. Santilli when he was previously a scientific consultant for EarthFirst, that these units are still being used by your clients (and is their only current means) to generate MagneGas, and that your clients are presently selling the MagneGas to end users as NextGas. Hadronic Press further believes that your clients are unlawfully promoting and marketing the so-called BigSpark Reactors, which are none other than the identical technology to the PlasmaArcFlow Reactors for which technology Hadronic Press owns United States Patent Number 6,183,604, dated February 6, 2001. Finally, principals of Hadronic Press have observed in the marketing and advertising materials of your clients, including but not limited to EarthFirst's website, the continued use of the trade name MagneGas.

EarthFirst's prior assertion that it owns all or at least a part of the trademark and patent rights to any technology developed since February, 1988 by Dr. Santilli, as well as any other intellectual property relating to the technology allegedly conducted using EarthFirst money, equipment, premises or the like is wholly unfounded in law. As the prior Cease and Desist letter served on your clients in this matter pointed out, the agreements EarthFirst relies on for this argument clearly show that any payments made to Hadronic Press were royalties for the license to use the technology owned by Hadronic Press. EarthFirst has never had, nor is presently in possession of, any independent "know-how" sufficient to exploit or develop the technology, or to develop new and different technologies as it suggests on its website describing the "newly developed" NextGas product (which interestingly appears to be made from the same unaltered Reactors that produce Magnegas). Hadronic Press asserts that the know-how required for

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advancing and developing the subject technology is embodied in the scientific knowledge of [redacted] who has assigned the ownership rights to Hadronic Press, as evidenced by the filing of the assignments with the USPTO.

Hadronic Press hereby renews its previously unheeded demands that EarthFirst, NextGas and all affiliated companies immediately cease and desist utilizing the patented technologies, proprietary technologies, trade secrets and trade names owned and controlled exclusively by Hadronic Press, including but not limited to the sale, marketing, use, or distribution of equipment and products related to MagneGas and PlasmaArcFlow Reactors, regardless of what new or other trade names your clients attempt to mask them with in a futile effort to avoid liability for patent infringement, theft of trade secrets, and trade mark infringement.

I sincerely appeal to you as a professional, now that you are on notice of this matter, to conduct the appropriate diligence into this matter. I further request that you review your clients' promotional material and websites for the improper, continued use of Hardonic Press' trade names such as magnegas, and advise your clients to cease utilizing these proprietary technologies and intellectual property accordingly.

Your clients, by their actions, have demonstrated a level of intentional unlawfulness and blatant disregard for the rights of Hadronic Press such that Hadronic Press believes that this Cease and Desist notice will yet again be ignored. Be assured that Hadronic Press has now positioned and funded itself to aggressively and immediately pursue all remedies available under applicable laws, should your clients persist in their present course of wrongful conduct. This firm has been authorized to take all steps necessary to protect our client's valuable rights, including the initiation of a lawsuit against EarthFirst, its various affiliates, and where appropriate, officers and directors individually, for monetary damages, declaratory and injunctive relief, and so forth. Hadronic Press will also seek to recover its related attorney's fees and costs.

I respectfully request the courtesy of your response within ten days form your receipt of this Cease and Desist correspondence, during which you will hopefully have the opportunity to obtain proper diligence and explanation from your clients so as to make an informed reply.

Sincerely,

[redacted]

cc: Hadronic Press, Inc.

509862 v1

Via fa[redacted] and certified mail return receipt requested

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NOTICE TO CEASE AND DESIST
CIVIL AND CRIMINAL VIOLATIONS IN YOUR ACTIVITIES WITH THE MAGNEGAS-NEXT GAS TECHNOLOGY

TO: [redacted]
Marketing Manager, NEXTGAS, INC.
[redacted]

WHEREAS I am the scientist who originated the new technology for the recycling of liquid waste known under the name of "MagneGas™, and, as such, I am entitled to part of its proceeds.

WHEREAS all patents, patent applications, trademarks, domain names, copyrights and know how on said MagneGas technology are owned by the Florida Corporation HADRONIC PRESS, INC. (HPI), as recorded in the appropriate governmental and other offices via notarized documents copies of which are enclosed herewith as "Exhibit 1".

WHEREAS, on July 5, 2000, HPI granted an exclusive license on the MagneGas Technology to the EarthFirst Technology Inc. (EFTI) based on A certain schedule of payment of advance royalties needed as partial contribution for the high costs of patent protection.

WHEREAS, after regular payment of said advance royalties for one year, as well as formal acknowledgment of said license in its SEC filings, on July 1, 2001, J. Stanton, principal stockholder of EFTI halted payment of said advance royalties to HPI.

WHEREAS, following numerous useless solicitations, HPI sent to J. Stanton on September 14, 2001, a formal NOTICE OF DEFAULT with request of cure within 45 days as per license, copy of which is herewith attached as "Exhibit 2".

WHEREAS, J. Stanton ignored said Notice of Default, thus forcing HPI attorneys to send a formal NOTICE TO CEASE AND DESIST in the development of the magnegas technology dated September 30, 2001, copy of which is herewith enclosed as "Exhibit 3".

. WHEREAS, following the reception of the latter Notice, J. Stanton and J. Mahoney, then President and CEO of EFTI continued in the development and use of my technology and changed the name of Magnegas into "nextgas" and from "PlasmaArcFlow Reactors™ into "bigspark".

WHEREAS, nextgas and big sparks are <u>identical</u> to MagneGas and PlasmaArcFlow Reactors as you can verify in the SEC disclosure by EFTI and our site <u>http://www.magnegas.com</u>.

WHEREAS, the continuation of developing the technology following a formal Notice to Cease and Desist constitutes <u>a violation of the civil code entitled to triple compensation</u>, while the change of name of my technology under a formal Notice to Cease and Desist constitute a <u>fraud, thus being a violation of our Criminal Laws.</u>

WHEREAS, [redacted] and the other officers of EFTI have refused throughout five month any honorable settlement of the case.

WHEREAS, you have been officially announced by EFTI as being the marketing manager of the magnegas-nextgas technology.

NOW, WHEREFORE, I HERE NOTIFY YOU THAT **your activity with the magnegas-nextgas technology is in violation of Civil and Criminal Codes for which I reserve the right to prosecute you at the time of my choosing.**

[redacted]

Acting *pro se* under the protection of the First Amendment of the U. S. Constitution without any connection, explicit or implied with corporations and institutions to which I may be affiliated.

E-1

THE SIXTH JUDICIAL CIRCUIT OF THE STATE OF FLORIDA, IN AND FOR PINELLAS COUNTY

CIVIL CASE NUMBER 02-3265CI007
FILED APRIL 21, 2002

HADRONIC PRESS, INC.
Plaintiff,
vs.
[redacted]

COUNT I (for over $ 10,000,000) - Breach of Licensing and Royalty Contract
COUNT II (for over $ 10,000,000) - Misappropriation of Trade Secrets under the Florida Uniform Trade Secret Act
COUNT III (for over $ 10,000,000) - Civil Theft of Technology Pursuant to the Florida Racketeer Influenced and Corrupt Organization Act (RICO)
COUNT IV (for over $ 10,000,000) - Conspiracy to Misappropriate Trade Secretes
COUNT V - Temporary and Permanent Injunction

[redacted]

E-2

THE SIXTH JUDICIAL CIRCUIT OF THE STATE OF FLORIDA, PINELLAS COUNTY

VICIL CASE NO.02-3013CI20
FILED APRIL 12, 2002

[redacted]

COUNT I - Temporary and Permanent Injunction
COUNT II - Civil Theft of Technology Pursuant to the Florida Racketeer Influenced and Corrupt Organization Act (RICO)
COUNT III - Conversion
COUNT IV - Breach of Fiduciary Duty
COUNT V - Fraud
COUNT VI - Conspiracy to Defraud
COUNT VIII - Conspiracy to Interfere with Advantageous Business Relations
COUNT IX - Breach of Plaintiff's Consulting Agreement
FOR OVER $ 30,000,000 CHARGES

[redacted]